Proctor & Gamble

In Proctor & Gamble (PG), in early 2007, I sold the stock on a downward breakout from an ascending triangle. The stock dropped a paltry 3.5% before recovering and making a new high, climbing 19% above my sale price.

- Lesson: Before selling, try to determine how far down price is likely to drop. If it's a lot, then sell. If not, consider riding out the decline. Only attempt this if the market and industry are both trending in a direction favorable to your trade (if you're bullish and the market and industry are also bullish, it'll help).

American Electric Power

In American Electric Power (AEP), I bought on an upward breakout from an ascending triangle but “Upside is limited, though,” I wrote in my trading notebook. If the upside was limited, why did I want to buy the stock?

The stock and industry showed terrific relative strength (relative to other stocks and other industries, *not* Wilder RSI). I raised my stop once, and the stock snagged it when it busted the upward breakout. I took a 4% loss but that was a blessing. About 3 weeks after I sold, the bear market grabbed onto the stock and dragged it under by 46% below my sale price.

Beazer Homes USA

I faced the same situation with Beazer Homes USA (BZH). I sold a week after buying in a bear market and took a loss when the upward breakout fizzled. I sold the stock at 50.30, and the stock bottomed at $1.25, a drop of 98% below where I sold.

Cisco Systems

Cisco Systems (CSCO) was one of those trades where I felt I would lose money but traded it anyway. What happened?

I lost money (just 3%)!

In my trading notebook, I wrote, “I don't think this trade will work out. I get the feeling that this will break out downward and tumble. Hopefully, my